AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XI

ANNUAL EXAMINTAIONS (THEORY) 2025

Principles of Accounting Paper II

Time: 1 hours 50 minutes Marks: 60

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INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's Signature**

RUBRIC

2. There are TWELVE questions. Answer ALL questions.
3. When answering the questions:

   Read each question carefully.
   Use only a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).
5. You may use a scientific calculator if you wish.
6. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

Q.1. (Total 3 Marks)

Complete the given table by applying the law of debit (Dr.) and credit (Cr.) for the given business transactions.

(**Note**: The first transaction has been completed for your assistance.)

S.No	Transaction	Debit (Dr.)	Credit (Cr.)
1.	Salim purchased merchandise worth Rs 150,000 on account paying Rs 25,000 as a down payment.	Purchases	Cash Account payable
2.	Alina paid her workshop's rent by paying Rs 10,000 cash and issuing a cheque of Rs 15,000.		
3.	Karim paid wages of Rs 1,500 to his workers and gave them merchandise worth Rs 1,000.		
4.	Amin withdrew merchandise worth Rs 15,000 and cash Rs 5,000 for personal use.		

Q.2. (Total 3 Marks)

Write ONE point of difference between the given fundamental concepts of accounting.

(**Note:** Attempt any THREE concepts.)

I.	**Current Asset**	**Non-Current Asset (Fixed Assets)**
II.	**Trade Receivable (Account Receivable)**	**Notes Receivable**
III.	**Trade Payable (Account Payable)**	**Notes Payable**
IV.	**Current Liability**	**Non-Current Liability**

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Q.3. (Total 6 Marks)

Asim Traders have performed the following business transactions during the month of November 2024.

Dates	**Transaction**
Nov 1, 2024	Cash balance (Cr.) Rs 12,000; Bank balance Rs 4,000 (Cr.)
Nov 4, 2024	Sold goods to Alam worth Rs 35,000 and received cash Rs 15,500 as partial payment
Nov 6, 2024	Paid Rs 5,000 cash to Afifa & Co. for commission of a business deal
Nov 8, 2024	Received cheque of Rs 58,000 from debtors and deposited the cheque into bank account on the same date
Nov 12, 2024	Paid full and final settlement of Rs 12,500 to vendors via cheque and availed a purchase discount of Rs 500
Nov 20, 2024	Withdrew Rs 16,000 from bank for business use and Rs 1,000 for personal use

Record the given business transactions into the 'Three Column Cashbook' format.

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Asim Traders											
Cashbook											
Receipts						Payments					
Date	Particular	P.R	Discount	Cash	Bank	Date	Particular	P.R	Discount	Cash	Bank
1	Balance			12,000	4,000						

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Q.4. (Total 6 Marks)

The following 'cash ledger account' of Shahbaz Associates has been extracted for the month of January, 2023.

Cash Ledger					
Date	**Particular**	**Amount**	**Date**	**Particular**	**Amount**
01.01 2023	**Balance**	**35,000**	**02.01 2023**	Rent expense	25,000
01.01	Sales	25,000	04.01	Utility expense	14,500
10.01	Commission income	10,000	08.01	Advertisement expense	12,500
			12.01	Salaries expense	2,500
	Total	**70,000**		**Total**	**54,500**
				Balance c/d	15,500
		70,000			**70,000**
	Balance b/d	15,500			

Post the given transactions from the cash ledger account in to the general journal format.

(**Note:** Narration of the transactions are not required.)

Date	Particular	PR	Debit	Credit

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Date	Particular	PR	Debit	Credit

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Q.5. (Total 6 Marks)

The following balances are taken from the ledgers of Qalandar Traders as on December 31, 2024.

S. No.	Particular	Amount (Rs)
1	Cash at hand	55,000
2	Bank	150,000
3	Prepaid advertisement	25,000
4	Office supplies	12,500
5	Purchase	35,000
6	Purchase return	1,200
7	Purchase discount	500
8	Sales (revenue)	175,000
9	Sales return	2,500
10	Commission income	2,500
11	Utility expense	15,000
12	Insurance premium	15,000
13	Drawing	1,500

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I. Compute the amount of capital for the business by balancing the trail balance.

II. Prepare the trail balance for the given ledger account balances.

Date	Particulars	PR	Debit	Credit

Date	Particular	PR	Debit	Credit

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Space for computing the amount of capital

Q.6. (Total 2 Marks)

Mention any TWO reasons for the difference between the balances in the 'cashbook (bank column)' and the 'bank statement'.

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Q.7. (Total 4 Marks)

The following information were extracted while reconciling the balance of cashbook and bank statement of Al-Hamra Traders for the month of June, 2024.

I. Outstanding cheques Rs 15,000
II. Uncleared cheques Rs 35,000
III. NSF (non-sufficient fund) cheques Rs 12,500
IV. Bank SMS charges Rs 1,500

Based on the given information, prepare the bank reconciliation statement for Al-Hamra Traders.

(**Note:** The opening balances of cashbook and passbook are given in the format.)

S.No	Transaction	Cashbook	Passbook
	Balance	**29,000**	**-5,000**
I			
II			
III			
IV			
	Total		

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Use the given information to answer Q.8 and Q.9.

The trial balance of Al-Hikma Traders as of June 30, 2024 showed a difference of Rs 9,500 at credit side. The account clerk proceeded preparing the draft of final accounts for the year ended June 30, 2024 showing a net profit of Rs 94,480.

The following errors were subsequently discovered:

i. Sales of Rs 9,000 to 'Al-Falah Traders' was debited to both 'Al-Falah Traders' and 'sales account'.
ii. A cash payment of Rs 11,250 for an electrical bill was entered on the debit side of the electrical expenses account as Rs 10,750.
iii. The sales journal was undercast by Rs 40,000.
iv. A cheque of Rs 3,000, for the rent income received from Al-Salam Trading, was only entered in the cashbook.
v. Telephone expenses and electricity expenses were both overstated by Rs 2,000 and Rs 3,000 respectively.

Q.8. (Total 5 Marks)

Prepare the journal entries to correct the given errors.

Date	Particular	PR	Debit	Credit

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Date	Particular	PR	Debit	Credit

Q.9. (Total 5 Marks)

Calculate the correct net profit for the year ended June 30, 2024.

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Q.10. (Total 10 Marks)

The following balances have been taken from the books of Asif Brothers on 31, December 2024.

Debit Balances		Credit Balances	
	Amount (Rs)		**Amount (Rs)**
Cash	5,000	Sales (revenue)	68,000
Trade receivable (account receivable)	10,000	Purchase discount	1,000
Merchandise inventory	8,000	Commission income	3,000
Prepaid shop rent	5,000	Trade payable (account payable)	6,000
Sales equipment	30,000	Capital	30,000
Purchase	24,000		
Carriage inward	500		
Advertising expense	2,500		
Miscellaneous expense	1,500		
Office supplies expense	2,000		
Delivery expense	500		
Salaries expenses	18,000		
Sales return	500		

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Data for adjustment at December 31, 2024:

- Prepaid shop rent Rs 1,000
- Office supplies unused Rs 400
- Salaries outstanding Rs 5,000
- Commission unearned Rs 1,000
- Merchandise inventory valued on December 31, 2024 at Rs10,000

Prepare a classified 'Income Statement' after adjusting the given transactions.

Asif Brothers					
Income Statement					
As on December 2024					

Q.11. (Total 5 Marks)

Al-Mukhtar Associates purchased a packaging plant on April 01, 2023 from Al-Haram Packaging for Rs 500,000 with a work life of 5,000,000 packaging units.

The following are the details of their packaging plant:

Year	Packaging Unit
2021	450,000
2022	850,000
2023	1,150,000

Compute the depreciation by production method for the year 2021, 2022 and 2023.

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Q.12. (Total 5 Marks)

Al-Hamra Associates purchased a printing press plant on January 01, 2020 from Quanta Prints for Rs 1,500,000. The machine has an estimated life of 10 years and is depreciating annually with a scrap value of Rs 500,000.

The following are the details of the recorded depreciation.

Year	Depreciation
2020	150,000
2021	150,000
2022	150,000
2023	150,000

Case 1:

The printing press plant exchanged for 20% of the cost price, i.e. considered as trade in allowance or value in trade. The new packaging plant was valued at Rs 2,000,000. The balance settled by paying 50% and the rest of the amount will be settled in four quarterly instalments.

Case 2:

The packaging plant was disposed of with a scrap value of Rs 800,000.

i. Compute the gain or loss for each case.

ii. Post the general journal entry for each case.

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Date	Particular	P.R.	Debit	Credit

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